



— TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Set the chart to 5-minute timeframe.

Apply RSI and Volume Oscillator.

For a buy trade, the price should be in an uptrend.

With this strategy, you will get the chance to buy the DIP.

At the dip, watch out for RSI and Volume Oscillator to be in tandem.

The **BUY** entry is triggered when the Volume Oscillator is near to -30% level and the RSI is at the 30 level (the oversold zone).

Make sure both of the indicators are in their oversold area.

The **STOPLOSS** is placed at the swing low.

The **TARGET** is based on the premise that once the RSI reaches the overbought area, the target is met.

With this strategy, the conservative Risk to Reward ratio is 1:2.

In the above illustration, on 29th December 2022, the market opened gap down. While the market was in an uptrend, a sudden gap down pushed the price to the oversold zone. After the first hour of the trading session, the market started gaining strength. That is RSI was near the 30 levels and the Volume Oscillator was at the bottom. After a bullish candle broke the resistance, the market started to rally and went up to the level of 18,240. That was where the profit booking is triggered based on the RSI.

